

RAVI PRADHAN: THE MOUTHPIECE OF THE MASSES?

We asked Ravi Pradhan of Via, the chipset and processor manufacturer, what should and could be done to bring the cost of PCs down. Pradhan is passionate about the issue of affordable computing, what people are buying and why they shouldn't be buying it. He had a lot to say to us:

- ▣ We need to bring the duty structure down, which would bring down costs by 30 to 35 per cent.
- ▣ There is no \$100 PC, and will not be. Even with duty cuts, it would still run up to \$200.
- ▣ Via is promoting the PC-TV, which has no monitor, but a digital tuner. What's the difference between a TV and monitor? Nothing but resolution and the inbuilt tuner. There are 90 million TVs, as against 10 million PCs in India. People will

buy TVs anyway for entertainment. The PC-TV concept might really work. It is in the works in various countries such as the US, and across Europe.

- ▣ People need to get away from the "GHz concept." Indeed, Intel dropped the 4 GHz platform.
- ▣ When you buy a TV, you never ask about the CPU and what processing power it has. Similar is the case when you purchase a washing machine: so why should you bother so much about the CPU when you buy a computer?
- ▣ "The charm of the GHz" is gone by now, and Microsoft, Intel, etc. are looking at other things, like cheap PCs.
- ▣ You now have gigabytes of storage on the Net. You can store all your songs on, say, Gmail. When broadband comes in, just stream all your music. Why do you need tons of hard disk space?

- ▣ The PC is still an elite product. 0.3 per cent of people in India bought PCs last year, and only 0.1 per cent bought them for personal use—that's one in a thousand. We don't want to accept the fact that we (that is, those of us who own personal-use PCs) are in the "elite of the elite," but that's the fact.
- ▣ I wanted to donate PCs to a school in Kurla, Mumbai. There were 1,600 students, studying four languages, and there is not one telephone line in the school. Where would the connectivity come from?
- ▣ There is no system in place in India for rewarding cost-cutting. If a decision-maker spends Rs 3 crore instead of Rs 6 crore on IT—including cheaper PCs—he will not be rewarded for his move. And thus, people go on spending more and more, without questioning suppliers.

an 80 GB when the 80 GB becomes mainstream. The same is the case with CPUs ... you get a better performing CPU at a particular price point.

"So with the current building blocks, the \$100 price point is a dream unless some new revolution comes into existence."

HCL Infosystems' Rajendra Kumar says the question is not about a "cheap" PC, but of something that means value for money. He cites budget requirements and upgradeability as key factors in pricing, and that HCL strives to cater to every market segment: that every product carries the same high quality that is expected. Asked about whether prices would come down, he says that the trend is there for us to see—home PCs that were typically seen only in metros are now seen in tier-2 and tier-3 cities.

The requirements of a user in, say, a tier-3 city, are different from those of a user in a metro, and Kumar says that HCL tries to address these differences. His answer to how a PC can be made more affordable is that there should be PCs at every price point; essentially, that customisability and flexibility are key.

Kumar issues a word of warning to those who purchase assembled PCs off the grey market, saying that there is always a risk involved - some parts, including hard disks, may be refurbished. Whether or not you get your money's worth depends on how well the customer is educated, according to Kumar.

Via's Ravi Pradhan disagrees violently with the idea of delivering superior technology at the same price points. Like Noronha, who says that computers aren't getting cheaper but only becoming more and more glorified typewriters, Pradhan says that there isn't sufficient education about what, or rather, "how much," technology is needed. People and companies have their computer needs dictated to them, he says, instead of the other way round: the user should dictate his requirements. It should depend on the applications, Pradhan says; a typical small

As of now, we seem to be getting a growing number of computers, and using them highly inefficiently

Frederick Noronha,
Co-founder,
bytesforall.org

business, for example, that uses mostly office applications and the Internet, there is absolutely no need for Pentium 4s running at 3.2 GHz. But such systems keep getting sold, with very few people asking where all the technology is getting applied. With the exception of, say, gamers, and those who do graphics and 3D work, no-one really needs the kind of computers that are being sold today, especially in a country like India.

Pradhan assures us that computers will get cheaper. And Noronha, echoing Pradhan, says, "As long as 995 million people—assuming India has a thousand million, the actual figure is more—are without access to computing, there are bound to be efforts to reduce prices and spread access to more."

As an aside, Noronha says about the PC industry: "It shouldn't work with so much planned-obsolence built into it. It hurts the buyer badly! It will keep computers unaffordable to all but a tiny segment in countries like India, while millions reach the garbage heap."

AMD's Personal Internet Communicator

Given that Internet connectivity is one of the prime reasons for wanting to own a PC,



Might PIC-like devices replace the IBM PC in countries such as India?